New York Times reported that US intelligence had detected preparations for an Indian nuclear test. [13] In a phone call with US President Bill Clinton, Rao said that India would not act irresponsibly, and tests were delayed. Elections were around the corner, the US had made its displeasure known, and India's economy was still too vulnerable to withstand international sanctions. [14] Although Vajpayee wished to authorize tests in 1996 upon becoming prime minister after the General Elections, he agreed to postpone the decision to after a vote of no confidence in Parliament, which his government did not survive. [15] Nuclear tests were therefore delayed, but the option remained on the table.

If the early- and mid-1990s heralded some new openings, other developments were far more worrying. One was the rise of a new kind of international terrorist threat with close links to Pakistan. In 1988, amid growing public dissatisfaction and an adverse political climate, the Kashmir Valley saw terrorist explosions followed by an increase in rioting and disturbances the next year. Pakistani assets—funds, arms and trained terrorists—filtered into the Kashmir Valley. Pakistan's involvement in these efforts was not new: various forms of covert activity had been employed since 1947. But the beginnings of a sub-conventional war under the cover of Pakistan's nuclear weapons marked a distinctly new phase. [16] In August, India reinforced its military presence in Jammu and Kashmir and in Punjab. In December 1989, within days of the swearing in of the new government of V.P. Singh, the daughter of India's home minister, Mufti Mohammed Sayeed, was kidnapped. Five militants were released in exchange, and this 'opened the floodgates of insurgency' in the words of one senior Indian intelligence official. [17] In December 1989, Pakistan conducted a major military exercise near the border with India. After January 1990, assassinations, threats, and overall violence in Kashmir resulted in the fleeing of some 3,00,000 Hindus—Kashmiri Pandits—from the Valley. That month, Pakistan's foreign minister, Lieutenant General Yaqub Khan, delivered an intimidating message to his Indian counterpart, implying the possibility of war. In March, Pakistan's prime minister, Benazir Bhutto, promised a '1000-year war' for Kashmir. [18]